Home Insurance Application for Insurance and Subscription Agreement

FARMERS INSURANCE

This is an Application for Insurance and a Subscription Agreement. Your signature at the end of this document is required. If our records do not show that you have provided us with a signed copy of this document, we reserve the right to terminate your coverage. Please keep a copy for your records.

Policy Number:	**98055-49-65**
Start Date:	10/22/2014 12:01 AM
Policy Form:	Next Generation Homeowners
Primary Named Insured & Property Address:	Yibiao Lu 17756 George Moran Dr Eden Prairie, MN 55347-1061 (763) 843-2859 bill_y_lu@yahoo.com
Your Farmers Agent:	Peter Eric Pietila (612) 220-0342 FAX (612) 235-6448 ppietila@farmersagent.com
Underwritten By:	Fire Insurance Exchange 4680 Wilshire Boulevard Los Angeles, CA 90010
Print Date:	10/15/2014
Paperless Policy:	Yes
eSignature:	Yes

Premiums/Fees

Policy Premium	$1,943.58
Fees (*also see Information on Additional Fees below)	$25.00
Regulatory Charges	$0.00
Premium and Fees	**$1,968.58**

Coverage

Coverage	*Coverage Limits*
Coverage A - Dwelling	$532,000
Coverage B - Separate Structures	$53,200
Coverage C - Personal Property	$399,000
Coverage D - Loss of Use	$212,800
Coverage E - Personal Liability	$300,000
Coverage F - Medical Payments To Others	$1,000

Extensions of Coverage	*Coverage Limits*
Extended Replacement Cost	$133,000
Building Ordinance or Law	$53,200
Identity Fraud Coverage	$28,500/$1,500
Personal Injury	Not Covered
Association Loss Assessment	$1,500
Contents Replacement Cost	Covered

Deductibles

	Deductible
Applicable to each covered loss except Windstorm/Hail Loss	$1,000
Windstorm/Hail Loss (2% of Cov. A Limit)	$10,640

Please Note: Percent Deductibles adjust with changes to Coverage A Limit.

Discounts Applied to Policy

Failure to submit requested documentation for discounts may result in removal of the discount and a premium increase.

Discount Type	Discount Type
Auto/Home	Non Smoker
Group - Engineer	

Policy Endorsements

Endorsement Number	Edition Number	Description	Limit
J6898	1ST	Endorsement Amending General Conditions	NA
J6944	1ST	Limited Matching of Undamaged Property	NA

Named Insured and Property Characteristics

Characteristics of the Insured

Age of Primary Named Insured	48

Characteristics of the Insured Property

Occupancy	Owner Occupied (Primary Res.)	Garage	3 Car Attached/Built-in
Coverage A	$532,000	Basement	Yes
Reconstruction Cost Estimate	$526,000	Number of Living Units	1
Year Built	1993	Fire Suppression Sprinkler	No
Number of Baths	4	# of Roomers/Boarders	No
Dwelling Style	2 Stories	Square Footage	3089
Type of Roof	Wood Shingle/Shake	Roof Geometry	Gable
Roof Full Replacement Year	1993	Built by Licensed Contractor	Yes
Amperage Capacity	200	Permanent Storm Shutters	No
Primary Heating	Gas	Renovation Year (Heating)	1993
Construction Material	Wood Siding over Frame	Renovation Year (Electrical)	1993
Outside City Limits	No	Renovation Year (Plumbing)	1993
Un-cleared Brush In 50 Ft	No	Designated Brush In 150 Ft	No
Hydrant Within 1000 Feet	Yes		

Farmers® used an estimating program to calculate an Estimated Reconstruction Cost to rebuild your home. You may have chosen to insure your home for the amount of the Estimate, or you may have selected a different amount. It is your right and responsibility to determine the amount of your insurance coverage. Your agent cannot choose your coverage amounts for you. Please verify that all the information on this document is complete and correct. Advise your Farmers agent of any changes that need to be made.

The Estimated Reconstruction Cost is based on the unique construction characteristics of your home, which you confirmed with our agent, and the geographic location of your home. The Estimate is a guide to assist you in determining coverage for your home. It is your

responsibility to choose the coverage limit that is right for you. However, the Estimate is just that — an estimate. It is not a guarantee that your home can be rebuilt for the amount of the estimate.

I affirm that all of the statements below are correct to the best of my knowledge.

1. I do not rent out my property.
2. My property does not have an unfenced pool.
3. My property does not have composition roll siding.
4. My property is not currently under extensive renovation.
5. My property does not have a cracked foundation or foundation movement.
6. My property has not been converted from non-residential to residential use.
7. I do not have dangerous animals on premises with a biting/attacking history.

Is the property in foreclosure or vacant?
No

Is there a business on property?
None

Are there any unusual hazards on the property?
Hazard 1: None

Are there any unacceptable maintenance conditions?
First: None

Are there any dogs on the property?
None

What is the primary heating source?
Central Heating - with Thermostat

I have advised my agent of all features and conditions of my property, and acknowledge that an independent inspection including photographs may be performed to validate this information. I understand that coverage may be cancelled or non-renewed if the inspection shows unacceptable characteristics of the property.

I confirm that the information below accurately represents my loss history over the last three years.

Date of Loss	*Type of Loss/Description*	*Amount Paid By Company*

Mortgagee / Other Interest

Please list if the property has a mortgagee or if the property is subject to a contract for deed or other interests/additional insureds.

1st Mortgagee	*Loan Number*
Wells Fargo Bank Na #936 ISAOA PO Box 100515 Florence, SC 29502-0515	0384787404

Coverage Period. I understand that the Coverage Period is effective as shown above and after the time for which applied. The policy, if issued, may be renewed for an additional policy term, only as specified in any renewal offer, which is subject to the insured's payment of the specified premium.

The Quoted Premium Is Subject To Change (Increase Or Decrease). The quoted premium is determined by base rates in effect on the Start Date of coverage as referenced above, which are subject to change without notice. The Insurer also reserves the right to accept, reject, or modify the requested coverage and/or the quoted premium after review of this application, and after review of other underwriting information.

Policy Coverage. I understand that the Insurer provides insurance only for those coverages indicated by a specific limit, deductible or other notation and for which a premium for the coverage is shown.

Initial Premium Payment. I understand that if any initial premium is remitted by check, draft, or money order, such payment is a conditional payment and is only accepted subject to collection, and it is agreed that if the premium remittance is not honored, no coverage will exist from inception.

E-Mail Consent. I agree that by providing my e-mail address to the Insurer, I hereby give the Insurer, and its affiliates, consent to send information regarding my coverage to the e-mail address listed on this application. I understand that this information may include, but is not limited to: premiums due, the status of my coverage and renewal information. I understand that the Insurer and its affiliates will not sell or furnish my e-mail address to any non-affiliated third party and that I may opt out of receiving e-mail by notifying the Insurer of my intent.

ePolicy Confirmation. I have chosen the paperless electronic delivery option; my signature below indicates that I have accepted the Terms and Conditions explained to me by my Farmers® agent. If I do not agree with any of the Terms and Conditions then I must advise my agent and I may not enroll in the paperless option.

Credit History Disclosure. In connection with this application for insurance, we may review your credit report or obtain or use a credit-based insurance score based on the information contained in that credit report. We may use a third party in connection with the development of your insurance score.

Fraud Warning. For your protection, please be advised of the following: Any person who knowingly presents a false or fraudulent claim for payment of a loss, or knowingly presents false or misleading information to an insurance company for the purpose of defrauding or attempting to defraud an insurance company, or provides false information concerning a material fact on an application for insurance made with the intent to deceive or defraud or which increases the risk of loss, or helps any other person commit such acts, may be guilty of insurance fraud, and may be subject to substantial civil and criminal penalties, pursuant to the laws of the state in which those acts occur.

Insurance Binder. The insurance reflected in this Application is applied for and is hereby temporarily bound until the earlier of: (i) 60 days from the Start Date of Coverage; (ii) the issuance of a policy originally applied for to the Primary Named Insured; or (iii) at least ten days, or any longer period required by applicable state law, from the date we mail notice that coverage applied for has not been accepted by us. If coverage under this binder expires, no further notice is required to be sent to the Named Insured. The terms of this binder take precedence over any other policy terms with regard to notice of termination. The insurer may elect to cancel coverage at any time during the first 59 days following issuance of the coverage for any reason which is not specifically prohibited by statute.

Claim History. I understand that the Insurer will consider my claim history, in accordance with applicable state law, in determining whether to decline, cancel, nonrenew or surcharge my coverage and that any claim made under my coverage will be reported to an insurance support organization.

Telephone Consent. I agree that the Insurer and its affiliates may use any telephone number, including any cell phone number, I provide now or in the future to contact me by way of live calls or by use of any automatic dialing system or artificial or prerecorded voice. I understand I am responsible for paying all applicable fees, charges and other costs that may be charged by my mobile l phone service provider associated with the receipt of calls from Insurer.

Consumer Reports. I agree to allow the Insurer to share my name, address, date of birth and social security number with third party consumer reporting agencies and insurance support organizations in order to obtain consumer reports, as permitted

by law, for this application, any policy, renewals, or for any claim. I acknowledge that I may contact the Insurer to access this information, request a copy of this authorization form and correct information that is inaccurate, in accordance with law.

*Information on Additional Fees

The "Fees" stated in the "Premium/Fees" box on the front apply on a per-policy, not an account basis. The following additional fees also apply:

1. **Service Charge per installment** (In consideration of our agreement to allow you to pay in installments):
   - For Monthly Recurring Electronic Funds Transfer (EFT) and fully enrolled online billing (paperless): **$0.00** (applied per account)
   - For other Monthly EFT plans: **$2.00** (applied per account)
   - For all other payment plans: **$5.00** (applied per account)
2. **Late Fee: $10.00** (applied per account)
3. **Returned Payment Charge: $25.00** (applied per check, electronic transaction, or other remittance which is not honored by your financial institution for any reason including but not limited to insufficient funds or a closed account)
4. **Reinstatement Fee: $25.00** (applied per policy)

If this account is for more than one policy, changes in these fees are not effective until the revised fee information is provided for each policy.

One or more of the fees or charges described above may be deemed a part of premium under applicable state law.

I agree that the amount of any fee charged may change with any renewal of coverage and that the Insurer retains the right to change the amount, terms or conditions of the assessment of any fee with any such renewal. I understand that if the Insurer changes the amount of the assessment of any fee listed above, the Insurer will notify me of these changes in their offer to renew my coverage.

I further understand that I am required to pay all fees assessed and that all payments received will first be applied to all applicable fees with the remainder applied to my premium. As a result, my failure to pay any such fee may result in the cancellation of my coverage for nonpayment of premium, the assessment of additional fees or the possibility of my account being assigned to a collections bureau.

Acknowledgement. I represent that I have applied for the insurance coverage(s) set forth in this application, and I confirm that I have supplied the information entered in the application and that all such information is true, correct and complete to the best of my knowledge. The information provided above and my promises are offered to the Insurer as an inducement to issue the policy for which I am applying. I acknowledge and agree that a failure to provide any and all requested information within the time required or data developed from that information, or my having concealed or misrepresented any material information requested in this application, may result in a declination of my application, an increase in premium, or the cancellation of coverage or the nonrenewal of any policy issued to me.

Farmers Insurance Exchange is a reciprocal, or interinsurance exchange, insurance company. This form of insurance company is owned by its members (also called subscribers), and the members appoint a third party, called the attorney-in-fact, to conduct certain administrative services for the company.

To become a member of the Exchange, please sign the Subscription Agreement printed below. Under the Subscription Agreement, you will be appointing Farmers Underwriters Association to act as the attorney-in-fact. The Association has acted in this capacity since 1928. The Subscription Agreement provides for payment of compensation to the Association for its becoming and acting as attorney-in-fact. This compensation consists of a membership fee and a percentage of premiums on all policies of insurance or reinsurance issued or effected by the Exchange. These fees are included in your policy payment and are not an additional fee.

If our records do not show that you have provided us with a signed copy of this document, we reserve the right to terminate your coverage.

Subscription Agreement

For and in consideration of the benefits to be derived therefrom the subscriber covenants and agrees with Farmers Insurance Exchange and other subscribers thereto through their and each of their attorney-in-fact, the Farmers Underwriters Association, to exchange with all other subscribers' policies of insurance or reinsurance containing such terms and conditions therein as may be specified by said attorney-in-fact and approved by the Board of Governors or its Executive Committee for any loss insured against, and subscriber hereby designates, constitutes and appoints Farmers Underwriters Association to be attorney-in-fact for subscriber, granting to it power to substitute another in its place, and in subscriber's name, place and stead to do all things which the subscriber or subscribers might or could do severally or jointly with reference to all policies issued, including cancellation thereof, collection and receipt of all monies due the Exchange from whatever source and disbursement of all loss and expense payments, effect reinsurance and all other acts incidental to the management of the Exchange and the business of interinsurance; subscriber further agrees that there shall be paid to said Association, as compensation for its becoming and acting as attorney-in-fact, the membership fees and twenty per centum of the Premium Deposit for the insurance provided and twenty per centum of the premiums required for continuance thereof.

The remaining portion of the Premium Deposit and of additional term payments made by or on behalf of the subscriber shall be applied to the payment of losses and expenses and to the establishment of reserves and general surplus. Such reserves and surplus may be invested and reinvested by a Board of Governors duly elected by and from subscribers in accordance with provisions of policies issued, which Board or its Executive Committee or an agent or agency appointed by written authority of said Executive Committee shall have full powers to negotiate purchases, sales, trades, exchanges, and transfers of investments, properties, titles and securities, together with full powers to execute all necessary instruments. The expenses above referred to shall include all taxes, license fees, attorneys' fees and adjustment expenses and charges, expenses of members' and governors' meetings, agents' commissions, and such other specified fees, dues and expenses as may be authorized by the Board of Governors. All other expenses incurred in connection with the conduct of the Exchange and such of the above expenses as shall from time to time be agreed upon by and between the Association and the Board of Governors or its Executive Committee shall be borne by the Association.

The principal office of the Exchange and its attorney-in-fact shall be maintained in the City of Los Angeles, County of Los Angeles, State of California.

This agreement can be signed upon any number of counterparts with the same effect as if the signatures of all subscribers were upon one and the same instrument, and shall be binding upon the parties thereto, severally and ratably as provided in policies issued. Wherever the word "subscriber" is used the same shall mean members of the Exchange, the subscriber hereto, and all other subscribers to this or any other like agreement. Any policy issued hereon shall be non-assessable.

I have read the above Application for Insurance and Subscription Agreement. I agree that the Application for Insurance accurately summarizes the insurance for which I have applied and agree to the terms and conditions of the insurance as described in the Application. I also agree to be bound to all of the terms and conditions of the Subscription Agreement.

E-SIGNed 10/21/2014 by YIBIAO LU

Subscribed to this _____ day of _____, 2 _____ ,_____ a.m./p.m. _____

Signature (if applicant is a minor, parent or guardian must also sign)